Residual Income · EVA · Free Cash Flow — Diamante Mind Map

Calculation format · when to use · **fully explained** pros & cons, each tied to Diamante — for the proposed long-term incentive scheme

DIAMANTE — VALUE & CASH MEASURES

two mines (each a CGU) · R1.7bn loss · refinancing pending · bonuses paused · new LTI scheme tabled

1 · Residual Income (RI)

RI = NOPAT − (WACC × net investment) · the rand profit left after charging the manager for the capital they use.
Diamante group: (979) − 12% × 4 419 ≈ **(R1 509m)** → value is being destroyed.

When to use for Diamante: reward each **mine manager** on the value their own mine adds above its capital charge.

PROS — EXPLAINED FOR DIAMANTE

Rewards value above the cost of capital, not just profit.

- A manager is only rewarded once they earn more than the cost of the money tied up in their mine.
- This is better than a profit target, which ignores how much capital was needed to make that profit.
- It pushes Diamante managers to use the mine's assets efficiently, not just chase output.

Removes the ROI / percentage-return trap.

- Under a percentage measure a high-returning manager rejects a good project because it lowers their average.
- RI accepts any project earning above the capital charge, so good projects are not turned away.
- Diamante cannot afford managers to reject value-adding projects just to protect a ratio.

A negative RI is an honest signal of value destruction.

- If RI is negative the manager has not covered the cost of capital, so no bonus is justified.
- Diamante's group RI of about −R1.5bn openly supports the board's decision to pause bonuses.

Can be applied to each mine separately.

- Each of the two mines is already a separate CGU with its own assets and results.
- So a per-mine RI can be built from information Diamante already prepares, with no new systems.

CONS — EXPLAINED FOR DIAMANTE

It is an absolute rand figure, so sizes are hard to compare.

- A larger mine shows a bigger RI simply because it is bigger, not because it is better run.
- Mine 1 and Mine 2 are different sizes, so a straight RI comparison could reward size over skill.

It still relies on accounting profit, which is distorted.

- RI starts from NOPAT, an accounting number affected by one-off items.
- This year includes a R963m impairment and a R405m Botswana disposal profit, which would badly distort RI.
- These one-offs must be normalised out, or a manager is rewarded/punished for events they did not control.

It depends on a WACC that is hard to pin down now.

- The capital charge needs a WACC, which depends on the company's debt/equity mix.
- Diamante's refinancing is unresolved, so its WACC is uncertain and the charge is arguable.

It can be gamed through the investment base.

- The charge is based on net investment, so a manager can shrink it by delaying capex or not replacing assets.
- In deep-level mining this is dangerous, because deferred capital spend creates safety and production problems later.

Verdict: a good per-mine value gate — but first normalise the one-off impairment and Botswana profit, and set a separate WACC for each mine.

2 · Economic Value Added (EVA)

`EVA = (NOPAT ± adjustments) − WACC × (net investment ± adjustments)` · RI with adjustments so the numbers reflect economic, not accounting, reality.
Diamante: add back the R963m impairment and capitalise mining leases → ≈ **(R1 500m)**.

When to use for Diamante: reward the **executives** on long-term group value, with a **bonus bank** that forfeits in negative years.

PROS — EXPLAINED FOR DIAMANTE

Purpose-built to measure shareholder value.

- EVA was designed to line managers up directly with the owners of the business.
- That is exactly the aim of Diamante's new scheme, because shareholders need value rebuilt after heavy losses.

Its adjustments remove accounting distortions.

- EVA lets you add back accounting-only items, such as the impairment, and capitalise items like equipment leases.
- Adding back the R963m impairment shows Diamante's underlying performance, not a number dominated by a write-down.

The adjustments discourage damaging short-termism.

- Spending with a lasting benefit is capitalised, not expensed at once, so a manager is not punished for investing.
- This stops a Diamante manager cutting essential mine development or maintenance to flatter this year's figure.

A bonus bank can be attached.

- Part of the bonus is held back and forfeited in years when EVA is negative.
- This fits Diamante, where bonuses are already paused, so rewards are only released once real value returns.

CONS — EXPLAINED FOR DIAMANTE

The adjustments are complex and judgemental.

- Deciding what to capitalise, over how long, and which provisions to add back all involve estimates.
- This makes EVA harder to calculate and explain, and it can be disputed by the managers being measured.

That judgement can itself be gamed.

- Because the adjustments are subjective, a board wanting to justify a bonus could pick ones that flatter the result.
- For Diamante, designing a scheme under pressure, this weakens the objectivity a good KPI needs.

It is very sensitive to the cost of capital.

- A small change in WACC moves the capital charge and can flip EVA from positive to negative.
- With the refinancing unresolved, Diamante's WACC is unstable, so the EVA could be argued either way.

Many classic adjustments add little for a miner.

- EVA's well-known brand and research adjustments suit consumer or technology businesses.
- Diamante's value lies in its ore bodies and operations, so much of the extra complexity buys little here.

Verdict: the best long-term executive measure — but only once the WACC and the adjustments are set independently, so they cannot be tuned to justify a bonus.

3 · Free Cash Flow (FCF)

Simple FCF = cash from operations − sustaining capital expenditure · the real spare cash left after keeping the assets going.
Diamante proxy: adjusted EBITDA ≈ **R207m** (more than halved from R540m) before capex.

When to use for Diamante: the **headline measure now** — reward the cash that funds the **refinancing** and keeps the company solvent.

PROS — EXPLAINED FOR DIAMANTE

Rewards the actual cash the business generates.

- Cash, not accounting profit, is what pays debts, funds investment and keeps a company solvent.
- Diamante is loss-making and refinancing, so cash generation is the most important thing management can deliver.

Much harder to manipulate than profit.

- FCF is based on real cash movements, so it cannot be dressed up with accounting entries.
- It side-steps Diamante's big non-cash distortions — the R963m impairment and the R405m Botswana profit.

It can carry a meaningful, motivating target.

- A profit-growth target is meaningless in a loss, because there is no profit to grow.
- Diamante's cash is still weakly positive (≈ R207m), so a realistic, stretching cash target can be set.

Aligns managers with the most urgent priority.

- The board's immediate concern is the refinancing and remaining a going concern.
- Rewarding FCF points every manager at that same goal, which is what an incentive scheme should do.

CONS — EXPLAINED FOR DIAMANTE

It is depressed by the heavy capex mining needs.

- Deep-level mining needs large, ongoing capital spend just to keep operating.
- That spend is subtracted in FCF, so a well-run Diamante mine can still show low FCF simply for being capital-intensive.

It can be gamed by cutting essential spend — dangerous here.

- A manager can boost this year's FCF by deferring capital projects, maintenance or safety spending.
- In deep mines this risks stoppages, injuries and lost production later.
- So essential capital and safety spend should be ring-fenced and excluded from the manager's control of the number.

It swings with the uncontrollable diamond price.

- Much of Diamante's cash flow depends on the rand diamond price, which is set by the market.
- By the controllability principle a manager should not be judged on price moves, so FCF needs benchmarking against the price.

A short-term cash focus can starve long-term value.

- Chasing this year's cash can lead managers to under-invest in developing the ore bodies.
- So FCF should be paired with RI or EVA, so survival is rewarded without sacrificing long-term value.

Verdict: the priority KPI for survival — but ring-fence essential capital and safety spend, and benchmark against the diamond price, so it cannot be gamed.

NOPAT & net-investment conventions and the RI/EVA method are from the IAC MAF performance-evaluation notes; Diamante figures are illustrative from the draft pre-release (group loss R1 719m, finance cost R378m, net investment ≈ R4 419m, assumed WACC 12%, adj. EBITDA R207m). Recommended blend: FCF for survival (headline) + per-mine RI + a banked group EVA for executives, with the one-offs normalised, the WACC set independently, and essential capex ring-fenced.